

In-line 2Q26 results; aggressive AI investment

Quick Note

Key thoughts on 2Q print

Tencent delivered a largely in-line 2Q26 print, with revenue and non-IFRS net profit growing 11% y-y and 9% y-y (*Fig. 1*), respectively. Domestic games (+17% y-y vs. our 11% y-y estimate) and marketing services revenue (+22% y-y vs. our 18% y-y estimate) surprised positively, while international games revenue missed our expectations, declining 1% y-y (or up 4% y-y in constant currency terms) compared to our estimate of +8% y-y.

Tencent's significant push into AI likely overshadowed an otherwise resilient set of quarterly results, in our view. Total capex increased 176% y-y and 65% q-q to CNY52.8bn, of which operating capex accounted for CNY51.8bn. Additionally, Tencent reported CNY51bn of prepayment for compute procurement during the quarter which, in our view, is likely related to the leasing of compute resources. Consequently, free cash flow turned negative to the tune of CNY13.8bn, vs. a positive CNY43.0bn in the same period last year.

Compared to its closest peers, Alibaba (BABA US, Buy) and ByteDance (unlisted), Tencent appears to face greater pressure to ramp up its investment in AI compute infrastructure. We believe underinvestment in previous years has led to acute shortage of compute resources for Tencent's new AI applications as well as its existing internet services.

During the earnings call, management outlined its priority for compute allocation, with the training of its foundation models taking precedence, followed by its AI and internet applications. The cloud business is the lowest priority for these resources, despite the potential to rent out AI capacity through the cloud division at a premium for an attractive gross margin. Management stated that the company is willing to forego near-term GPU rental revenue in order to build a large-scale and AI-native business that is intended to be highly profitable, cash-generative, and return-generative over the long term.

Further, we believe a significant portion of the recent capex is dedicated to training-related work to improve Tencent's proprietary foundation models, which are being developed by its Hy and WeChat teams, respectively. Management noted that training-related capex is front-loaded and is unlikely to grow at the same accelerated rate as in recent quarters in future years.

We believe management's commentary regarding compute resource allocation underscores a GPU supply crunch across its businesses, necessitating strict rationing. We do not view GPU rentals as inherently "low-value" as they have become a strong catalyst for hyperscalers like AliCloud and Volcano Engine (affiliated with ByteDance) to acquire new clients. These platforms then serve those clients with value-added AI-related products, such as Model-as-a-Service (MaaS). Both Alibaba and ByteDance have leveraged GPU rentals to cross-sell their respective large language model (LLM) products, such as Qwen from Alibaba and Seedance from ByteDance. These MaaS service revenues are growing at a fast pace for Tencent's two competitors, while Tencent remains focused on improving its foundation models and AI applications to the levels that are able to be commercialised in full swing.

We continue to believe this heavy AI investment is well-positioned to generate compelling returns over the long term for Tencent, particularly from the WeChat agent currently in testing. Tencent's solid core businesses (online gaming and marketing services) and proactive shareholder returns—having spent USD3bn on share repurchases in 1H26 in addition to a USD6bn annual dividend—provide meaningful downside support for long-

Rating	Buy
Remains	
Target price	HKD 727.00
Remains	
Closing price	HKD 470.80
11 August 2026	

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term shareholders. Thus, we maintain our Buy rating.

Please refer to Figs 1-2 for a detailed review of the 2Q26 results.

Valuation methodology

We maintain our Buy rating and SOTP-based TP of HKD727. Our TP implies 20x FY27F P/E (non-IFRS EPS: CNY32.65). The stock is currently trading at 12.7x FY27F P/E.

Fig. 1: Tencent: 2Q26 results review

2Q26 results review									
CNYmn	2Q26	1Q25	2Q25	YoY	QoQ	Cons.	vs. Cons.	NMR Est.	vs NMR
Revenues	204,785	196,458	184,504	11%	4%	202,843	1.0%	203,017	0.9%
Gross profit	118,433	111,265	105,013	13%	6%	115,629	2.4%	117,372	0.9%
Gross margin	57.8%	56.6%	56.9%	0.9ppt	1.2ppt	57.0%	0.8ppt	57.8%	0.0ppt
Non-IFRS op	75,636	75,627	69,248	9%	0%	75,662	0.0%	75,358	0.4%
Non-IFRS op margin	36.9%	38.5%	37.5%	-0.6ppt	-1.6ppt	37.3%	-0.4ppt	37.1%	-0.2ppt
Non-IFRS net profit	68,415	67,905	63,052	9%	1%	68,227	0.3%	67,014	2.1%
Non-IFRS net margin	33.4%	34.6%	34.2%	-0.8ppt	-1.2ppt	33.6%	-0.2ppt	33.0%	0.4ppt
Non-IFRS EPS (CNY)	7.43	7.36	6.79	9%	1%	7.46	-0.4%	7.30	1.9%

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: Tencent: revenue mix

Revenue mix								
CNYmn	2Q26	1Q25	2Q25	YoY	QoQ	NMR Est.	vs NMR	% of total rev.
Value Added Service (VAS)	98,414	96,110	91,368	8%	2%	98,427	0%	48%
Online gaming business	65,900	64,200	59,200	11%	3%	65,298	1%	32%
Incl. domestic online gaming	47,300	45,400	40,400	17%	4%	44,994	5%	23%
overseas online gaming	18,600	18,800	18,800	-1%	-1%	20,304	-8%	9%
Marketing Services	43,565	38,171	35,762	22%	14%	42,199	3%	21%
FinTech and Business Services	60,286	59,885	55,536	9%	1%	60,534	0%	29%
Others	2,520	2,292	1,838	37%	10%	1,856	36%	1%
Total revenue	204,785	196,458	184,504	11%	4%	203,017	1%	100%

Source: Company data, Nomura estimates

Fig. 3: Tencent: capital return

Company Name	Market cap (USD mn)	Net cash (USDmn)	Cash as % of market cap	Buyback (1H26, USDmn)	Dividend distributed (1H26, USDmn)	Combine cash capital return (1H26, USDmn)	Total capital return as % of market cap
Tencent	544,989	8,685	1.6%	3,129	6,209	9,338	1.7%

Source: Company data, Nomura research

Appendix A-1

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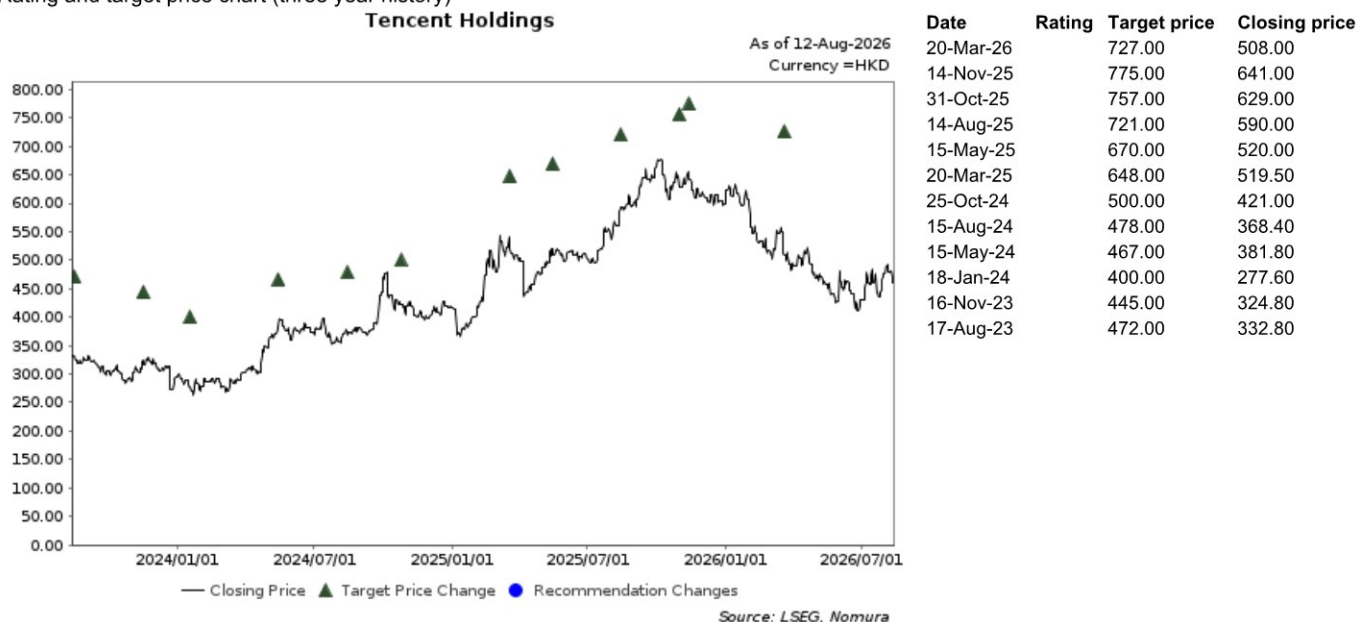
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Tencent Holdings	700 HK	HKD 470.80	11-Aug-2026	Buy	N/A	A1,A3,A10
Alibaba Group Holding	BABA US	USD 127.85	11-Aug-2026	Buy	N/A	A10

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Tencent Holdings (700 HK)

HKD 470.80 (11-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

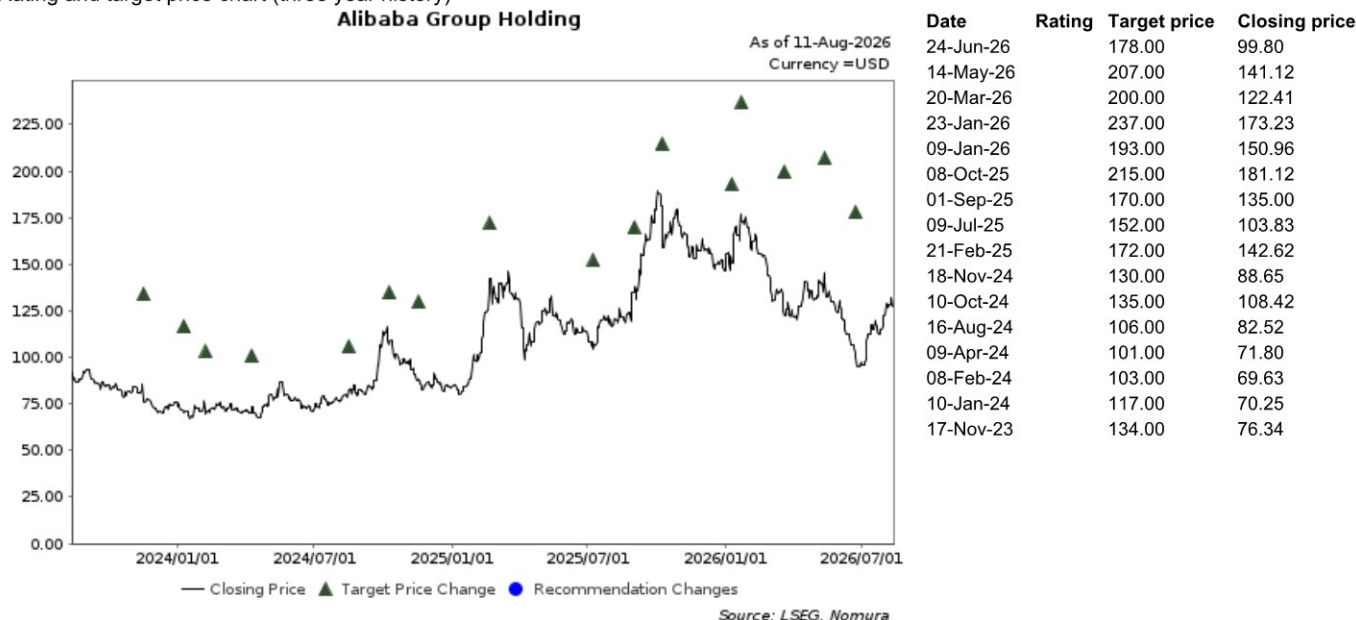
Valuation Methodology We value Tencent's online gaming business at USD282bn (FY26F P/E of 18x), online advertising business at USD236bn (FY26F P/E of 20x), Fintech business at USD169bn (FY26F P/E of 15x), and Cloud business at USD40bn (FY26F P/S of 5x). We value investees at USD106bn. The resulting TP is HKD727. The benchmark for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Risks: High market expectations, aggressive spending on WeChat Pay and overseas marketing, and any potentially disruptive products and business models from competitors.

Alibaba Group Holding (BABA US)

USD 127.85 (11-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Alibaba Group Holding

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Alibaba's China Ecommerce Group at USD89bn, based on 5x FY27F P/E; its AliCloud business at USD270bn, based on 7x FY28F P/S; and its net valuation of non-core assets (including international ecommerce business) at USD40bn. The resulting TP is USD178. The benchmark index for this stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include: margin downside due to ramp-up in investments; regulatory risks related to the payment and internet finance industry, which could hurt Alibaba's main business and its value in Ant Group.

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